

Advanced Technicals

Market Structure & Order Flow

Explained so simply a 10-year-old gets it

The detective tools — structure, volume profile, and open interest — that reveal who is really in control and whether a move is a whole army marching or just a few soldiers.

Stock Market Mastery Roadmap • Advanced Level
Educational only — not investment, trading, or tax advice.

Basic charts show you the *what*. This chapter adds the **detective tools** that reveal the *why* and *how strongly*: who is really in control, where the big players hide their orders, and whether a move is a whole army marching or just a few soldiers. This is the read behind serious Bank Nifty and Nifty decisions.

Deeper price action: reading the footprints closely

- **Break of Structure (BOS)** — price breaks a recent high/low, **confirming the trend continues** — the stairs keep climbing.
- **Change of Character (CHoCH)** — the *first* sign the trend may be **flipping** — the stairs start going the other way.
- **Liquidity sweep**  — price briefly **spikes past** an obvious level to **grab stop-losses**, then reverses — big players "shaking the tree" to trigger small traders before moving the real way.
- **Imbalance / Fair-Value Gap** — a fast move that leaves a **gap** with little trading — price often **comes back to fill** it later, like smoothing a skipped stitch.

Volume & Market Profile: where price likes to hang out

Imagine tracking **where a crowd spends the most time** at a fair. That's what these tools do for price:

Term	What it means	Simple picture
Value area	the price band where most trading happened	the fair's busiest zone
POC (Point of Control)	the single most-traded price	the most popular stall
High-volume node	a price that saw lots of trade	a magnet / resting spot
Low-volume node	a price skipped quickly	an empty corridor — price rushes through

ACCEPTED VS REJECTED VALUE

When price **stays** in an area and trades a lot, the market has **accepted** that value — it becomes a magnet. When price **pokes in and shoots out** fast, value was **rejected** — a sign the crowd disagreed. Watching accept vs reject tells you where price wants to rest and where it won't.

Open Interest: counting who's committed

Open Interest (OI) = how many futures/options contracts are **currently live**. Pair it with the price move and you can read the crowd's *intent*:

Price	OI	What it means	Bias
Up ↑	Up ↑	Long buildup — new buyers entering	bullish
Down ↓	Up ↑	Short buildup — new sellers entering	bearish
Up ↑	Down ↓	Short covering — sellers closing out	cautious up
Down ↓	Down ↓	Long unwinding — buyers exiting	cautious down

SAME PRICE MOVE, OPPOSITE MEANING

A rising price from **long buildup** (fresh buyers, OI up) is *strong* and likely to continue. A rising price from **short covering** (sellers running away, OI down) is often *weak* and fades. **They look identical on the price chart** — only OI tells them apart. This single read saves a lot of bad entries.

Breadth & intermarket: is the whole army marching?

- **Advance-Decline** — how many stocks rose vs fell — a broad rally is **healthier** than a few giants dragging the index up.

- **% above moving average** — what share of stocks are in uptrends — a quick "market health" bar.
- **Sector relative strength** — which sectors are **leading vs lagging** right now.

If the index climbs but **breadth is weak** (few stocks participating), the move is fragile — like a parade where only the front row is actually marching.

Relative strength & rotation

Relative strength compares one stock/sector against the market. The simple rule the pros live by: **buy strength, avoid weakness**. Money constantly **rotates** between sectors — riding the current leaders (while they lead) beats hoping a laggard turns around.

Key ideas to remember

- **Price shows where; volume/OI shows conviction; breadth shows how broad.** Use all three together for the full picture.
- **Structure gives objective, rule-based entries and invalidation levels** — you know exactly where you're *wrong*, not just where you hope.
- **Long buildup vs short covering look the same on price but mean opposite things** — always check OI before trusting a move.

PRACTICAL EXERCISES

-  **Annotate 15 charts with volume profile**; mark where price **accepted** vs **rejected** value.
-  **Build the OI-interpretation table** (price up + OI up = long buildup, etc.) and classify **20 real examples**.
-  **Rank sectors by relative strength weekly for a month**; note whether the **leaders kept leading**.

REAL-WORLD APPLICATION

-  **OI + price + volume is the core read for Bank Nifty / Nifty index option decisions** and for **timing directional futures trades**. It's how you tell a genuine breakout from a trap, and a committed trend from a fizzling one — exactly the edge that matters most in index F&O.

ONE-LINE SUMMARY

Go beyond the candle: read **structure** (BOS/CHoCH, liquidity sweeps, gaps) for objective entries, **volume/market profile** (value area, POC) for where price rests, and **OI + price** to tell **long buildup** from **short covering** (they look identical!). Confirm with **breadth** and favour **relative strength**. Price says *where*, volume/OI says *conviction*, breadth says *how broad*.